Ellery Partners

Transaction services | Financial due diligence

Tranquil Aged Care
Financial Due Diligence

Summary of audited and last twelve month financial information supporting a proposed A$95.0M

Prepared for Quillwood Credit Partners

Prepared by Ellery Partners

28 February 2025

Version 1.0

Reference: EP-FDD-2025-014

Date: 28 February 2025

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Tranquil Aged Care Pty Ltd
ABN	71 956 336 974
Registered office	Level 9, 440 Bourke Street, Melbourne VIC 3000
Sponsor	Coolwater Capital Pty Ltd (manager of Coolwater Capital Healthcare Fund II)
Proposed facility	A$95.0M senior secured term loan, 36 months
Periods covered	FY22 to FY24 (audited, year ended 30 June) and LTM to 31 December 2024 (unaudited)
Prepared by	Ellery Partners
Prepared for	Quillwood Credit Partners
Date and version	28 February 2025, Version 1.0

Report details

1. Purpose, scope and basis of preparation

Quillwood Credit Partners has asked Ellery Partners to summarise the historical financial position and performance of Tranquil Aged Care Pty Ltd (the Borrower, or Tranquil) and to comment on the quality of the information supporting the proposed senior secured term loan of A$95.0M. This report covers the income statement, balance sheet and cash flow, the pro forma capital structure on drawdown, and the notes and accounting policies that matter to a lender.

We have relied on the following sources: the signed FY22, FY23 and FY24 consolidated financial reports, each audited by Ashgrove Whitlam Audit Pty Ltd; the information memorandum dated 10 February 2025; and monthly management reporting to 31 December 2024 prepared by Tranquil. Last twelve month (LTM) figures to 31 December 2024 are derived from management reporting, are unaudited and have not been reviewed by the auditor. Figures are in Australian dollars and rounded to one decimal place of a million, so totals may differ slightly from the sum of components.

This report is a summary of financial information and is not an audit or review. We have not verified underlying transactions, tested systems or inspected the homes. Valuation, quantity surveying and legal advice are outside our scope. An independent valuation from Harcourt Dunmore Valuers Pty Ltd and a quantity surveyor report from Pellow & Strand Quantity Surveyors Pty Ltd have been commissioned but were not available at the date of this report, and we have not relied on either.

2. Summary of findings

Tranquil is an established owner-operator of nine approved residential aged care homes in Victoria with 1,040 operational beds. Earnings have grown in each of the last three financial years, but the pro forma capital structure is thinly covered by earnings and the balance sheet carries a large refundable accommodation deposit (RAD) liability. Our principal findings are set out below.

- Revenue has grown from A$94.1M in FY22 to A$104.9M in FY24, a compound rate of 5.6% a year, and reached A$108.4M for the LTM to December 2024.
- EBITDA has risen from A$12.4M to A$16.5M over the same period, with the margin improving from 13.2% to 15.2%. No management add-backs have been presented, and we have not adjusted reported EBITDA.
- Operating cash conversion before interest is strong at about 91.5% of LTM EBITDA, but cash after interest, tax and capital expenditure is modest, and the group has paid down bank debt only from internal cash flow and net RAD inflows.
- The group reports net liabilities of A$67.4M at 31 December 2024 because RADs of A$118.0M and bank debt of A$78.5M exceed the carrying value of property. This is common among operators that have applied RAD inflows to fund development, but it means refinancing capacity depends on continued RAD inflows and earnings, not on balance sheet strength.
- On full drawdown, net debt is A$89.0M, or 5.4x LTM EBITDA, and EBITDA covers pro forma cash interest of about A$8.7M by 1.9x. The stated loan to value ratio of 60.1% is measured against management's indicative as-is market

value of A$158.0M and excludes the RAD liability.

- Occupancy of 91% leaves limited headroom. On our sensitivity, a fall of three to four percentage points reduces interest cover to between 1.6x and 1.7x.

Metric	Value	Basis
LTM revenue	A$108.4M	Dec 2024, unaudited
LTM EBITDA	A$16.5M	Dec 2024, unaudited
EBITDA margin	15.2%	LTM EBITDA / revenue
Facility limit	A$95.0M	Proposed, fully drawn
Cash	A$6.0M	31 Dec 2024
Net debt (pro forma)	A$89.0M	Facility less cash
Net debt / EBITDA	5.4x	LTM EBITDA
EBITDA / cash interest	1.9x	Pro forma interest A$8.7M
Indicative as-is value	A$158.0M	Management, unvalued
Facility / value (LVR)	60.1%	Excludes RADs
RAD liability	A$118.0M	31 Dec 2024

Key financial and credit metrics

3. Business and operating context

Tranquil was established in July 2009 with an 84 bed home in Bendigo. It acquired a three home portfolio in Melbourne's south-east in November 2015, lifting capacity to 470 beds. Coolwater Capital acquired a 72% controlling interest in April 2019, with management retaining the balance. A purpose-built 168 bed home in Geelong opened in February 2022, bringing the portfolio to nine homes and 1,040 beds across metropolitan Melbourne, Geelong and regional Victoria.

The homes are held freehold and operated under Commonwealth approved provider status. Occupancy was 91% at the last reporting date, equal to about 946 occupied beds. The group employs about 1,420 FTE and reports compliance with the 215 minute per resident per day care minute target, including the registered nurse component. Stage one of the portfolio refurbishment, covering three homes, was completed on 31 October 2024. Stage two, estimated at A$9.5M, remains unfunded.

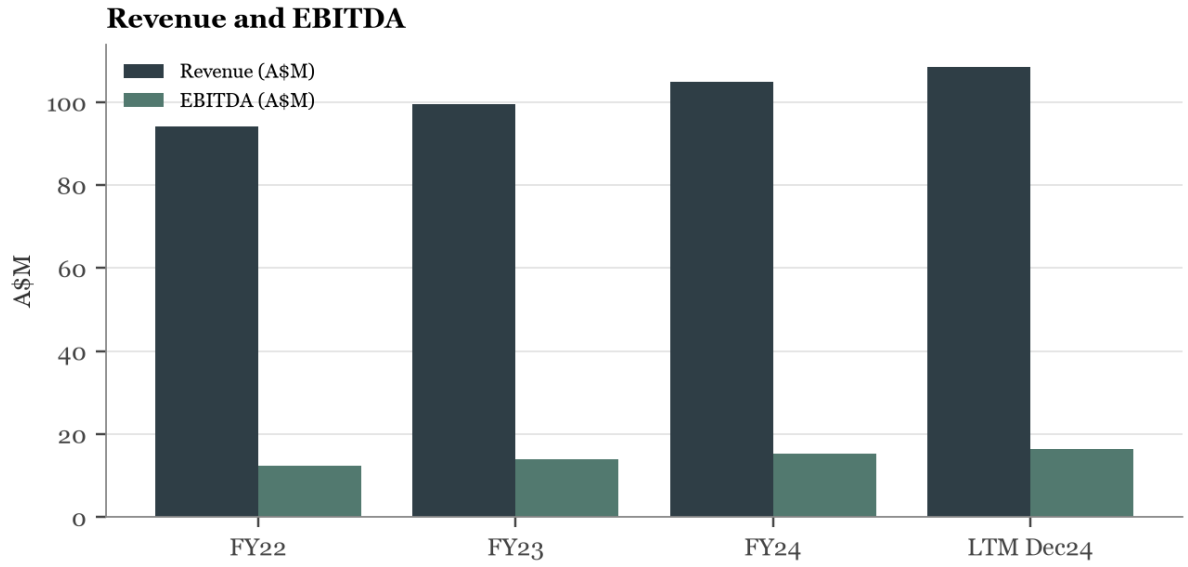
Directors are Helena Marchetti (Chair and Non-Executive Director, Coolwater Capital nominee), Graham Ostrowski (Chief Executive Officer and Executive Director) and Priya Venkataraman (Non-Executive Director and Chair of the Audit and Risk Committee).

4. Income statement

4.1 Summary results

A$M	FY22	FY23	FY24	LTM Dec24
Revenue	94.1	99.6	104.9	108.4
EBITDA	12.4	13.9	15.4	16.5
Depreciation and amortisation	(5.1)	(5.3)	(5.6)	(5.9)
EBIT	7.3	8.6	9.8	10.6
Interest and finance costs	(5.2)	(6.0)	(6.4)	(6.3)
Profit before tax	2.1	2.6	3.4	4.3
Income tax expense	(0.6)	(0.8)	(1.0)	(1.3)
Net profit after tax	1.5	1.8	2.4	3.0
EBITDA margin	13.2%	14.0%	14.7%	15.2%

Summary income statement. FY22 to FY24 audited; LTM unaudited



Revenue and EBITDA, FY22 to LTM December 2024

Revenue grew 5.8% in FY23 and 5.3% in FY24. The LTM figure is 3.3% above FY24 after six months of the new period. Management attributes growth to indexation of Commonwealth funding under AN-ACC, higher acuity mix and improved occupancy after the Geelong home ramped up. We have not been given a bed-level occupancy history by home and have requested one.

4.2 Revenue composition

LTM Dec24	A$M	% of revenue
Commonwealth subsidies (AN-ACC and supplements)	76.0	70.1%
Resident means-tested and daily fees	18.5	17.1%
Accommodation payments (DAP, contributions, RAD retentions)	11.4	10.5%
Other income	2.5	2.3%
Total revenue	**108.4**	**100.0%**

LTM revenue by source, management analysis

Revenue per occupied bed is about A$114,600 a year, or roughly A$314 a day, on 946 occupied beds. Commonwealth subsidies account for 70.1% of revenue, which exposes earnings to government funding decisions, including the

transition to the new Aged Care Act and changes to means-testing. Accommodation payments are less volatile but depend on resident mix and on prevailing maximum accommodation payment rates.

4.3 Operating costs and EBITDA

LTM Dec24	A$M	% of revenue
Employee expenses	71.2	65.7%
Food, clinical and care supplies	8.9	8.2%
Property, utilities and repairs	6.1	5.6%
Administration, insurance and other	5.7	5.3%
Total operating costs	91.9	84.8%
EBITDA	16.5	15.2%

LTM operating costs and EBITDA, management analysis

Employee expenses are the dominant cost. Agency labour is about 4.2% of staff costs, or roughly A$3.0M on our calculation. Meeting the 215 minute care target has increased rostered hours, and award and wage determinations will continue to lift unit labour cost. The margin gain since FY22 shows that funding increases have to date outpaced cost growth, but this relationship is not guaranteed.

One matter requires reconciliation. Employee expenses of A$71.2M across about 1,420 FTE imply an average cost of about A$50,000 per FTE, which is low relative to award rates plus on-costs for nursing and care staff. The gap may reflect the definition of FTE (for example, rostered hours versus headcount equivalents), casual and part-time mix, or classification of some labour in other lines. Management has been asked to provide a payroll to ledger reconciliation and the FTE definition. Until this is resolved we treat the employee cost line as a confirmation item.

5. Balance sheet

A$M	30 Jun 24	31 Dec 24
Cash and cash equivalents	5.2	6.0
Trade and other receivables	7.8	8.1
Property, plant and equipment	131.0	133.4
Other non-current assets	3.1	3.1
Total assets	147.1	150.6
Trade and other payables	9.6	10.2
Employee provisions	8.9	9.3
RADs and other accommodation bonds	115.4	118.0
Borrowings (bank)	78.5	78.5
Other liabilities	1.8	2.0
Total liabilities	214.2	218.0
Net liabilities	**(67.1)**	**(67.4)**

Consolidated balance sheet. June 2024 audited; December 2024 management accounts, unaudited

Property, plant and equipment is carried at cost less accumulated depreciation and includes the freehold land and buildings of all nine homes. The carrying value of A$133.4M compares with management's indicative as-is market value of A$158.0M, a difference of A$24.6M that is not recognised in the accounts. Adjusting net liabilities for that difference alone would still leave a deficit of about A$42.8M.

RADs are classified as current liabilities, as required where the group has no unconditional right to defer repayment. This produces a large working capital deficit that is structural to the sector and not by itself a sign of distress. The relevant question is whether net RAD inflows remain positive. They were A$4.4M for the LTM period and A$3.3M in

FY24. Cash of A$6.0M is low relative to the A$118.0M liability, so a sustained fall in new deposits would draw on the facility or on operating cash flow.

Combined claims of the proposed facility (A$95.0M) and RADs (A$118.0M) total A$213.0M, which is 134.8% of the indicative as-is value. The 60.1% loan to value ratio quoted in the information memorandum is therefore a measure of the facility alone. The statutory protection and ranking of RADs, and their interaction with the proposed first ranking mortgage, should be confirmed by legal counsel before credit approval.

6. Cash flow

A$M	FY24	LTM Dec24
EBITDA	15.4	16.5
Working capital movement	(0.4)	(0.3)
Income tax paid	(0.9)	(1.1)
Operating cash flow before interest	14.1	15.1
Interest paid	(6.4)	(6.3)
Operating cash flow after interest	7.7	8.8
Maintenance capital expenditure	(2.1)	(2.2)
Refurbishment capital expenditure	(3.6)	(5.9)
Net RAD inflows	3.3	4.4
Repayment of bank borrowings	(4.7)	(2.3)
Shareholder distributions	0.0	(2.0)
Net change in cash	**0.6**	**0.8**

Summary cash flow. FY24 audited; LTM unaudited

Operating cash flow before interest converted 91.5% of LTM EBITDA and 91.6% in FY24. Capital expenditure on refurbishment has been funded from operating cash flow and net RAD inflows. Bank debt fell by A$4.7M in FY24 and by A$2.3M in the second half of FY24, with no repayment in the first half of FY25. Shareholder distributions of A$2.0M were paid in the first half of FY25. The terms of the facility should address the permitted level and timing of distributions given the 1.9x interest cover.

Cash flow after interest, tax and maintenance capital expenditure was about A$6.6M for the LTM period (A$8.8M less A$2.2M). This is the amount available each year to meet stage two refurbishment, RAD refunds in excess of new deposits and any principal repayment, before shareholder distributions.

7. Pro forma capital structure and credit metrics

7.1 Sources and uses

A$M	Amount	% of total
Senior secured term loan	95.0	100.0%
Refinance existing bank debt	78.5	82.6%
Stage two refurbishment and room reconfiguration	9.5	10.0%
Transaction costs, interest reserve and working capital	7.0	7.4%
Total uses	**95.0**	**100.0%**

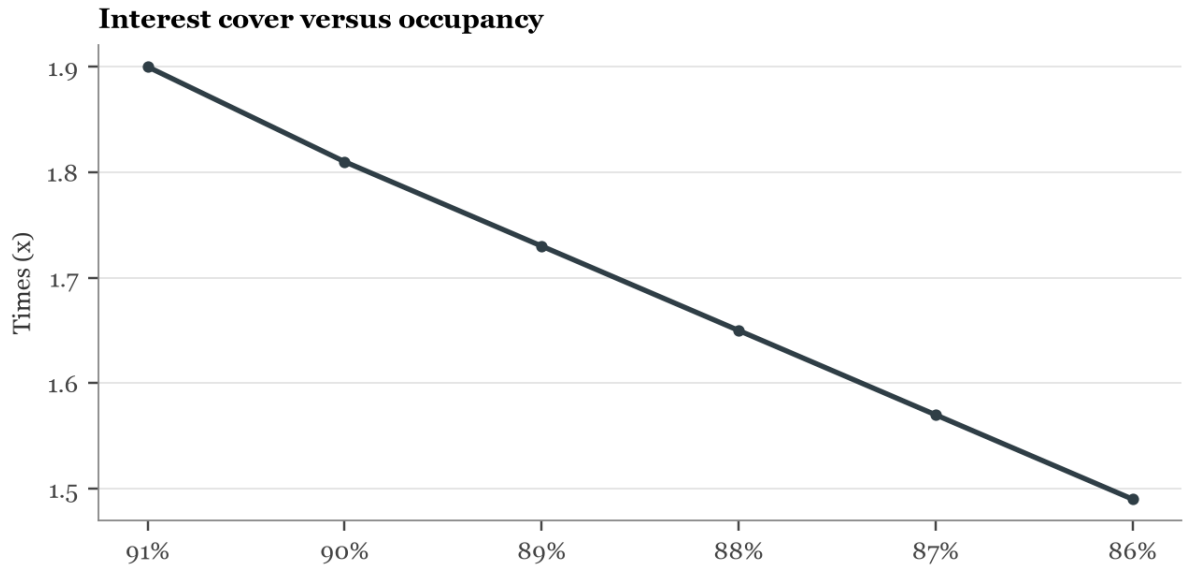
Sources and uses on full drawdown

The establishment fee of 1.75% equals about A$1.66M, leaving about A$5.34M for other transaction costs, the interest reserve and working capital. The facility is indicatively priced at 3 month BBSW plus 5.25% a year, with a 1.00% a year line fee on undrawn commitments and a 1.00% exit fee if repaid within 12 months. The facility would be secured by a first ranking mortgage and general security over all assets.

7.2 Credit metrics and occupancy sensitivity

Pro forma net debt is A$89.0M (A$95.0M less cash of A$6.0M), which is 5.4x LTM EBITDA of A$16.5M. Gross debt is 5.8x. Pro forma cash interest of about A$8.7M implies a cash rate of about 9.8% on net debt, which we regard as broadly consistent with the indicative margin plus current BBSW, subject to the hedging and interest rate assumptions in the financial model that we have not yet received. On that basis EBITDA covers interest 1.9x.

To illustrate occupancy risk, we assume each percentage point of occupancy equals 10.4 beds and about A$1.19M of revenue, with 60% of that revenue flowing to EBITDA because staffing is partly fixed. The 60% flow-through is our assumption and has not been confirmed by management. Interest is held constant at A$8.7M.



Pro forma interest cover at lower occupancy, Ellery Partners sensitivity

Interest cover falls to 1.65x at 88% occupancy and 1.57x at 87%. On these assumptions EBITDA would approach the level of cash interest only if occupancy fell by about 11 percentage points, to around 80%. The sensitivity excludes cost responses and any effect on RAD inflows, both of which would worsen the position in a sustained downturn.

8. Notes to the financial information

Note 1. Basis of accounting

The FY22 to FY24 financial reports are general purpose financial statements prepared under Australian Accounting Standards by Tranquil Aged Care Pty Ltd as a large proprietary company, on a consolidated basis, with a 30 June year end. Ashgrove Whitlam Audit Pty Ltd issued an unmodified opinion on each year. LTM figures are calculated as FY24 less the six months to 31 December 2023 plus the six months to 31 December 2024, using management accounts.

Note 2. Revenue recognition

Commonwealth subsidies and supplements are recognised as care is delivered, based on AN-ACC classifications. Resident fees are recognised daily. Daily accommodation payments and contributions are recognised over the period of stay. Retentions deducted from RADs are recognised as income over the resident's stay, up to the permitted limit. Revenue is exposed to reclassification and review by the Commonwealth, and we have not seen any recoupment or adjustment notices.

Note 3. Refundable accommodation deposits

RADs are recorded at the amount received less permitted deductions and are repayable on the resident's departure, within the time required under the Aged Care Act. The balance was A$118.0M at 31 December 2024 (A$115.4M at 30 June 2024). Tranquil is subject to prudential requirements for accommodation deposits. We have asked for the most recent liquidity compliance certificates and the 12 month refund forecast.

Note 4. Property, plant and equipment

Land is not depreciated. Buildings and fit-out are depreciated on a straight line basis over their useful lives. Additions in the six months to December 2024 reflect the completion of stage one refurbishment across three homes. Depreciation for the LTM period was A$5.9M. No impairment has been recorded.

Note 5. Borrowings

Existing bank borrowings of A$78.5M are secured and would be repaid from proceeds of the proposed facility. We have not reviewed the existing facility agreement or any break costs on early repayment, and the uses above do not specify an allowance for them. This should be confirmed.

Note 6. Employee provisions

Employee provisions of A$9.3M comprise annual and long service leave. We have not seen an actuarial review of the long service leave provision. The group has not disclosed any outstanding underpayment claims.

Note 7. Related parties

Related party transactions are with Coolwater Capital and its associates, including monitoring or management fees and shareholder distributions. We have been given distributions of A$2.0M in the first half of FY25. The amount of any fees paid is to be confirmed, and we recommend that these be subordinated or restricted under the facility documents.

Note 8. Contingent liabilities and subsequent events

No material contingent liabilities were disclosed in the FY24 financial report. Management has advised that there have been no subsequent events since 31 December 2024 that would materially affect the information in this report. We have not yet reviewed correspondence from the Aged Care Quality and Safety Commission.

9. Key risks identified from the financial review

- Regulatory and funding reform: 70.1% of revenue is Commonwealth funding. Changes to AN-ACC pricing, the new Aged Care Act or means-testing could reduce revenue per occupied bed, with limited ability to offset through cost.
- Workforce: wage pressure, the use of agency labour (about 4.2% of staff costs) and the cost of sustaining the 215 minute care target could erode the 15.2% margin. The per FTE cost anomaly in Section 4.3 remains open.
- RAD liquidity and refinance: RADs of A$118.0M are repayable on departure. Cash of A$6.0M is limited, and a fall in new deposits would draw on cash or facility headroom. Refinancing at maturity depends on earnings and on the valuation.
- Occupancy: at 91% there is limited buffer. A three to four percentage point fall reduces interest cover from 1.9x to between 1.6x and 1.7x on our sensitivity.
- Quality and compliance: adverse findings or sanctions at any one home could restrict admissions and harm reputation. A single home's compliance event could have a disproportionate effect on cash flow.
- Interest rate: the facility is floating rate and only partial hedging is proposed, so cash flow is exposed to BBSW movements. Each 1.00% increase in BBSW adds about A$0.9M of annual interest on the drawn amount, which is a reduction in cover of about 0.2x.

10. Outstanding items and next steps

The following information is outstanding and should be received before the financial analysis is finalised.

- The independent valuation from Harcourt Dunmore Valuers Pty Ltd, which is needed to confirm the A$158.0M indicative value and the 60.1% loan to value ratio.
- The quantity surveyor report from Pellow & Strand Quantity Surveyors Pty Ltd, to verify the A$9.5M stage two budget and the progress of stage one.

- Updated management accounts for the period after December 2024, with a reconciliation to the LTM figures in this report.
- The financial model and hedging proposal, to confirm the A$8.7M pro forma interest assumption.
- Payroll to ledger reconciliation and the FTE definition.
- RAD refund history and forecast, prudential liquidity certificates, and home by home occupancy and compliance reports.
- Existing facility agreement and break costs, and legal advice from Fenwick Lyle Lawyers on the treatment of RADs in the security structure.

11. Sign-off

Prepared by	Rowan Tait, Senior Manager, Financial Due Diligence, Ellery Partners
Reviewed by	Imogen Calloway, Partner, Ellery Partners
Date	28 February 2025
Status	Version 1.0, for the use of Quillwood Credit Partners only

Preparation and review

This report has been prepared for Quillwood Credit Partners for the purpose of evaluating the proposed facility and may not be relied on by any other party. It is based on information provided by Tranquil Aged Care Pty Ltd and its advisers as at the date above, and Ellery Partners accepts no responsibility for errors in that information.